McKinsey & Company

Auto Financing Strategy

Final Steering Committee with CEO

September 29, 2025

EUROBANK

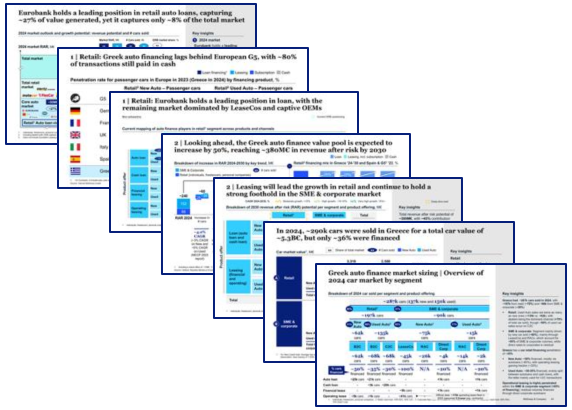
Four concrete deliverables from this strategy effort

1

Sizing of Greek market and growth potential

Assessed Greek end-consumer and B2B market, competitive landscape and growth potential

Estimated the financing mix in the Greek market by 2030 and identified main growth pockets per segment, product and channel



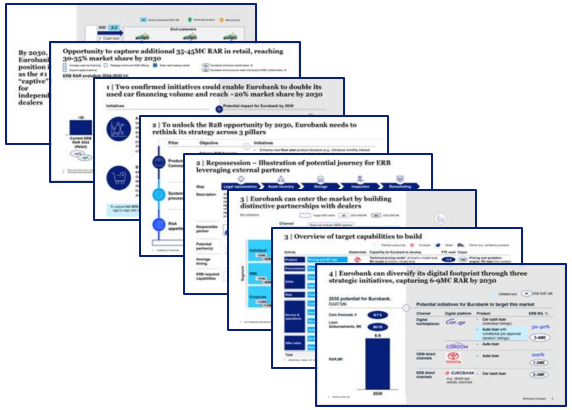
2

Assessment of “where to play” and “how to win” for Eurobank

Identified value creation opportunities, concrete initiatives and key operating model shifts (cross-enablers)

Detailed technical and operational capabilities required

Assessed development strategy (e.g., internal development vs. partnership) on key initiatives



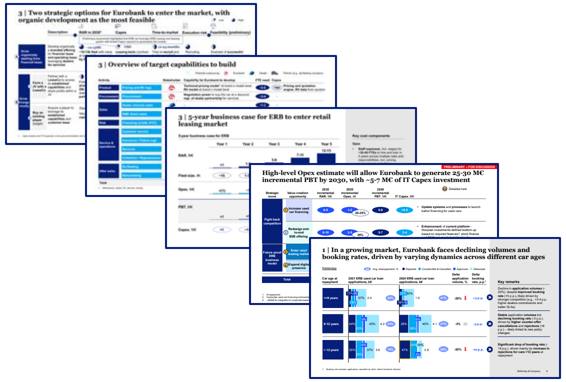
3

Business cases per initiative *Revenue after Risk, PBT, Capex*

Developed detailed business case with RAR estimation

Assessed Capex and Opex requirements for each value creation opportunity

Derived 5-year return on investment for each value creation opportunity

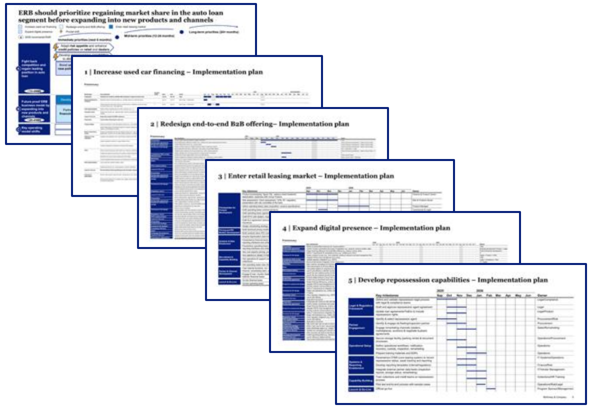


4

Roadmap to 2030 including detailed implementation plans

Developed 2030 roadmap and sequencing of initiatives across two strategic moves: fight-back competition, future proof ERB positioning

Developed detailed implementation plans for each value creation opportunity – *To be validated by initiatives owner and key stakeholders*



Strategy phase completed; decision to proceed (go/no-go) required

Executive summary: Eight key messages

1. **Greek auto finance market** is estimated at **~240M€ RAR**[1] (of which ~120M€ Retail); Eurobank holds a strong position in auto loan (~27% market share), but with no presence in retail operating leasing, resulting in an **effective 8% market share**

2. By 2030, **the market is projected to grow by ~50%** reaching ~380M€ in RAR, driven primarily by **Retail** (2x vs. 2024) on the back of **increased car sales, car prices** and **financing penetration** as well as a **shift from ownership to usership**

3. In this context, **Eurobank is losing share** (-10pp since 21') to a combination of **systemic banks** and **OEM captives/specialized players** due to**:** i) **stricter credit policy than competitors**; ii) **absence of a competitive offering (e.g B2B financing)**

4. Eurobank should leverage its broad dealer network, strong capabilities, and reliable brand, **to become #1 "captive" bank for independent dealers**

5. **Four concrete initiatives have been identified**: 1) Increase **used car financing** (+6–8M€ RAR); 2) Redesign **B2B offering** (+8–10M€ RAR); 3) Enter **retail leasing** (+12–15M€ RAR); 4) Expand **digital presence** (+4–6M€ RAR)

6. This overall plan can create a growth opportunity of **35-45M€ in additional RAR** (x3 vs. today), reaching 55-65M€ RAR by 2030 (~30% market share in retail), and **25–35M€ incremental PBT** (x3 vs. today)

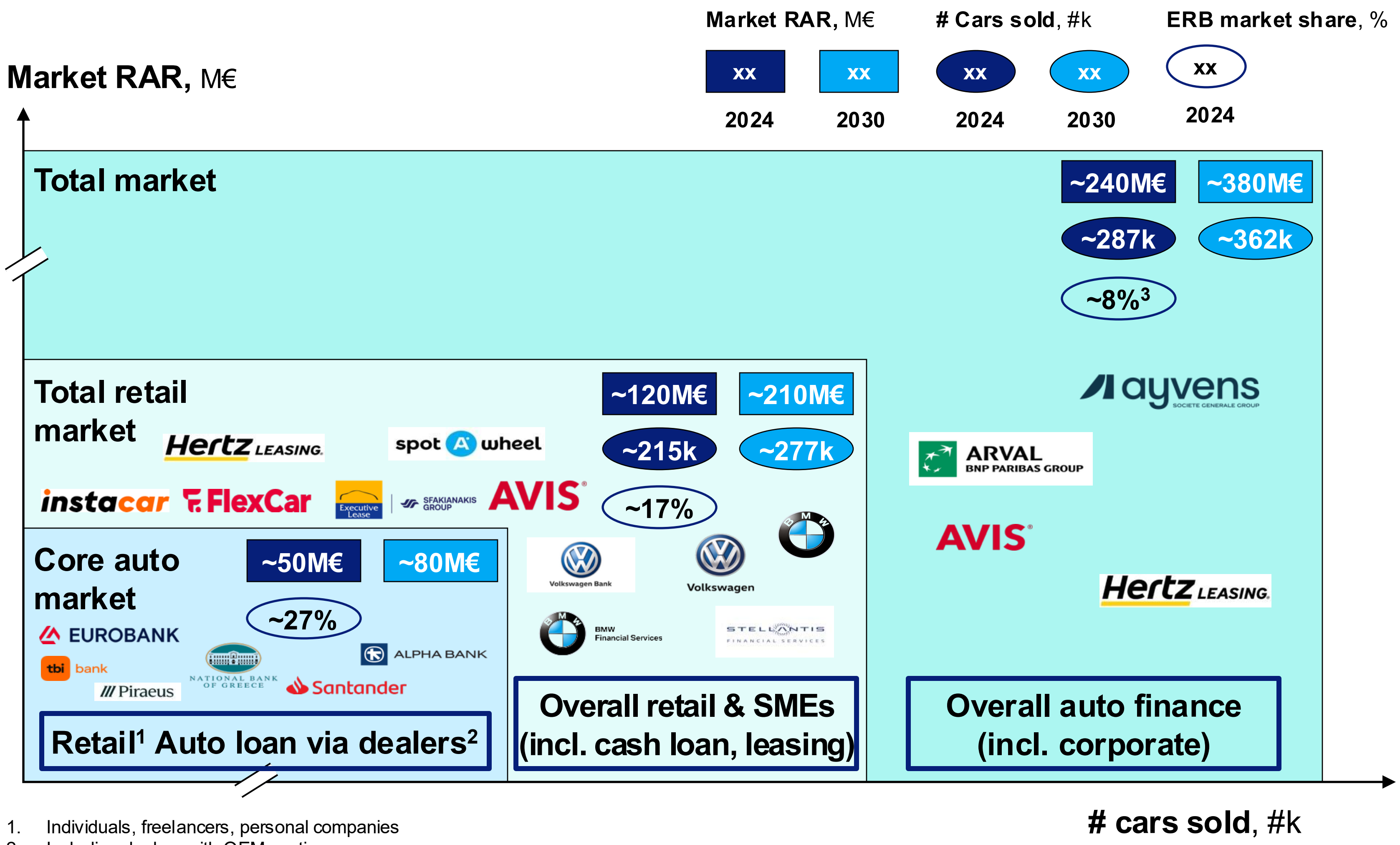
7. Eurobank can faster **regain leading position in auto loan**, increase competitiveness on used car and redesign B2B offering, **while gradually expanding into new products** (i.e., operating leasing) and **channels** (i.e., digital)

8. **Three key enablers**: i) Building **repossession capabilities** to collateralize lending ; ii) Creating a **dedicated auto finance value stream** supported by ~13 additional FTEs to start**;** iii) **Investing €4-6M in IT** for B2B platform enhancement and digital journeys

1. Revenue After Risk

1 | Eurobank holds a strong position in retail auto loans, capturing ~27% of value generated, yet it captures only ~8% of the total market

Market size and growth potential (RAR and # cars)



1. Individuals, freelancers, personal companies
2. Including dealers with OEM captives
3. Does not include Eurobank Leasing exposures in Corporate segment

Key insights

1 2024 market

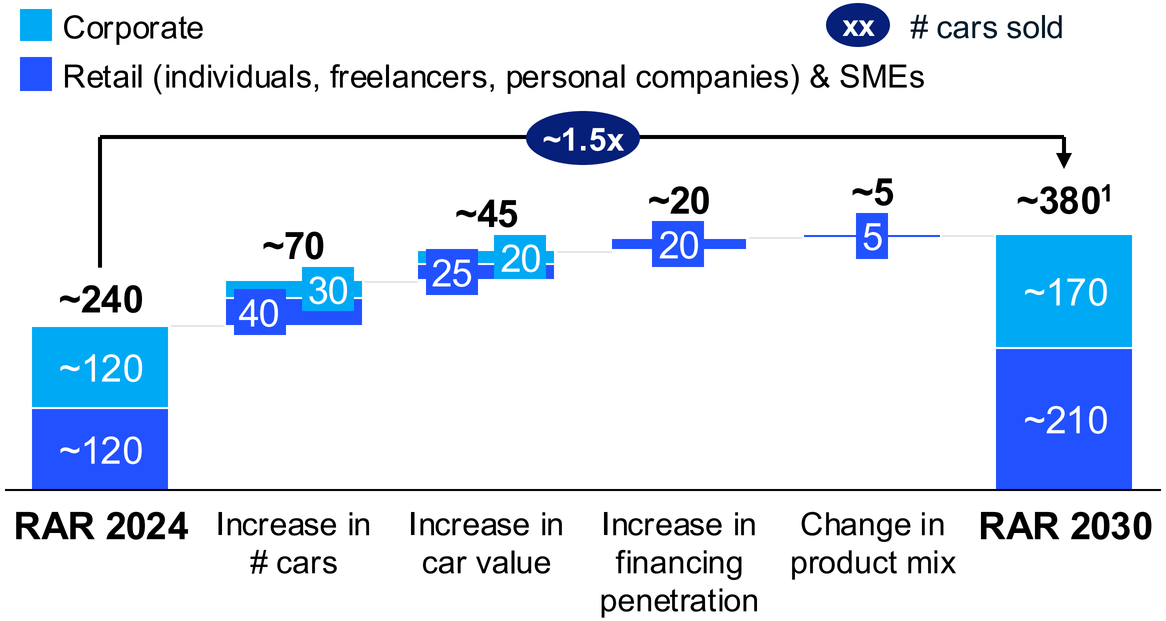
Eurobank holds a **leading position in retail auto** loans, capturing ~27% of value generated, yet **it captures <10% of the total market** as it is not present in new pockets of growth (e.g., operating leasing) and (almost) **corporate segments** which are dominated by Captive OEMs and LeaseCos

2 2030 market

The Greek auto finance value pool is expected to grow by ~50%, reaching **~380M€ in revenue after risk**, driven by rising car sales and increasing financing penetration

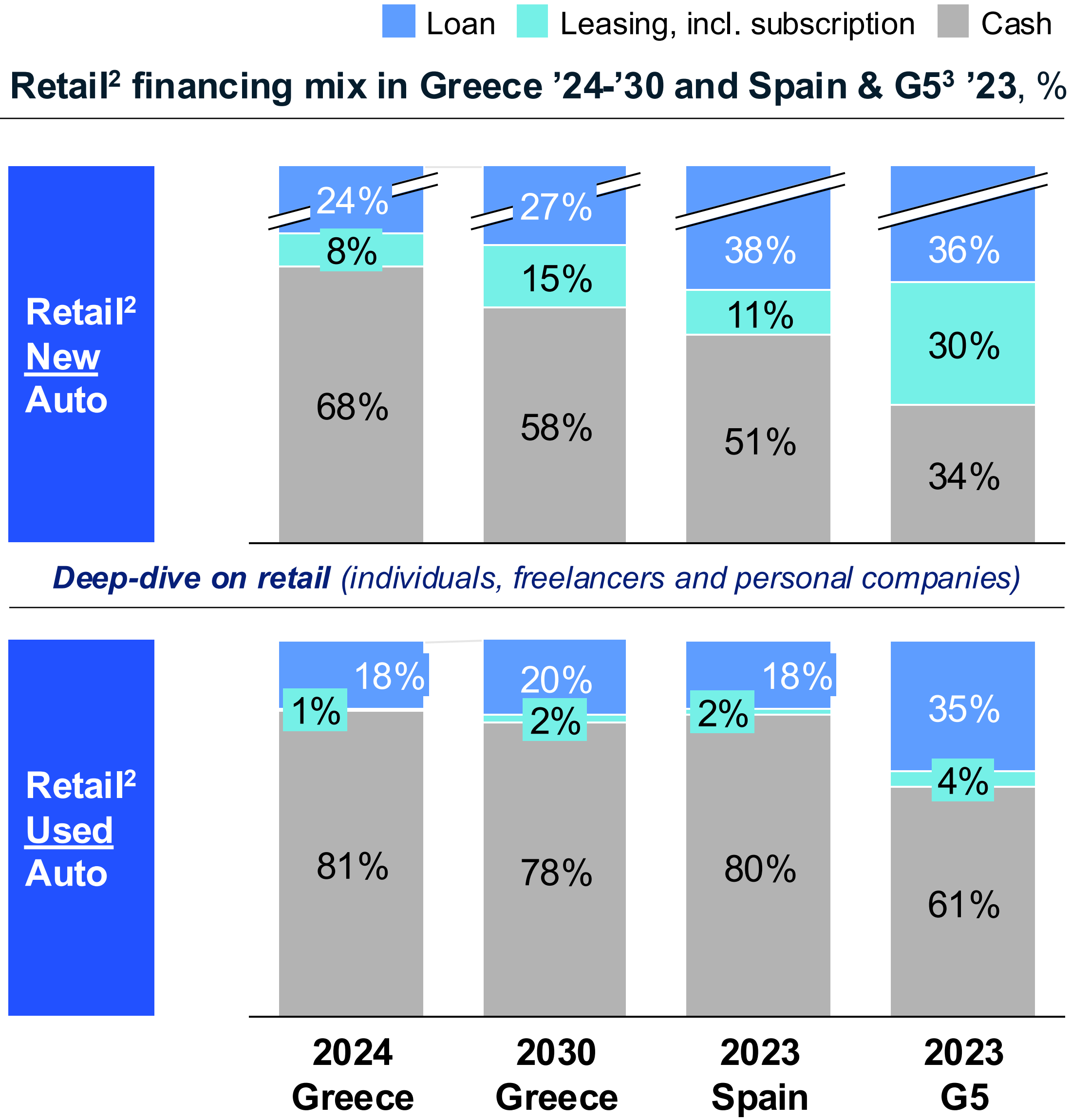
2 | Looking ahead, the Greek auto finance value pool is expected to increase by 50%, reaching ~380M€ in revenue after risk by 2030

Breakdown of increase in RAR 2024-2030 by key trend, M€



Increase in # cars	Increase in car value	Increase in financing penetration	Change in product mix
~4.0% CAGR (~3% CAGR on New and ~5% CAGR on Used (NECP 2023 report)	**~2.5% p.a.** inflation rate on car value (IMF data April 2025)	**+1pp p.a.** financing penetration to partially align with Spain's financing mix	**~15%** operating lease in Retail New financing mix (assumption based)

Retail[2] financing mix in Greece '24-'30 and Spain & G5[3] '23, %



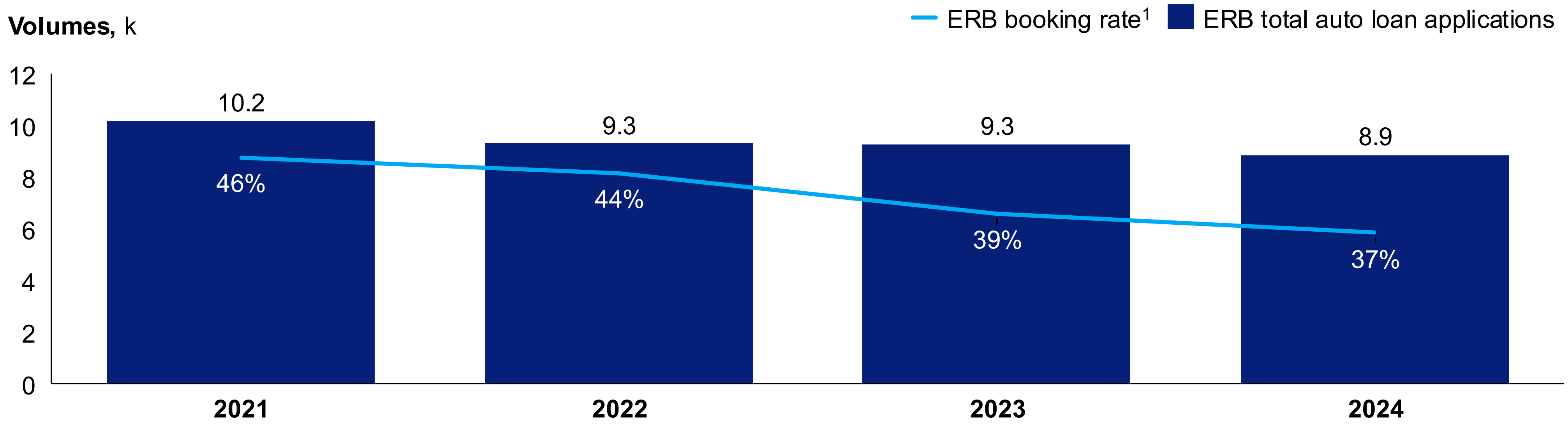
1. Including a mixed effect of ~15M€ ; 2. Individuals, freelancers, personal companies, For Spain and G5: penetration rate for B2C passenger cars

Source: Hellenic Republic Ministry of Environment and Energy: NECP page 62, IMF Datamapper April 2025, Internal McKinsey model for G5 penetration rate for B2C passenger cars

3 | In this context, Eurobank experienced a decline in auto loan applications and booking rate, leading to ~10pp drop in MS since ‘21

Retail – Used cars

Evolution of Eurobank used auto loan applications (k#) **and booking rate** (%)



	2021	2022	2023	2024
ERB used auto loan applications/ financed cars via dealer channel	**~50%**	**~42%**	**~42%**	**~38%**
ERB MS incl. OEM captives, %	**~22%**	**~20%**	**~18%**	**~13%**
ERB MS within independent dealers, %	**~25%**	**~23%**	**~20%**	**~15%**

+15% growth in used car sales from 2021 to 2024

1. Booking rate calculated as: Applications disbursed/ Total incoming applications

Source: Team analysis

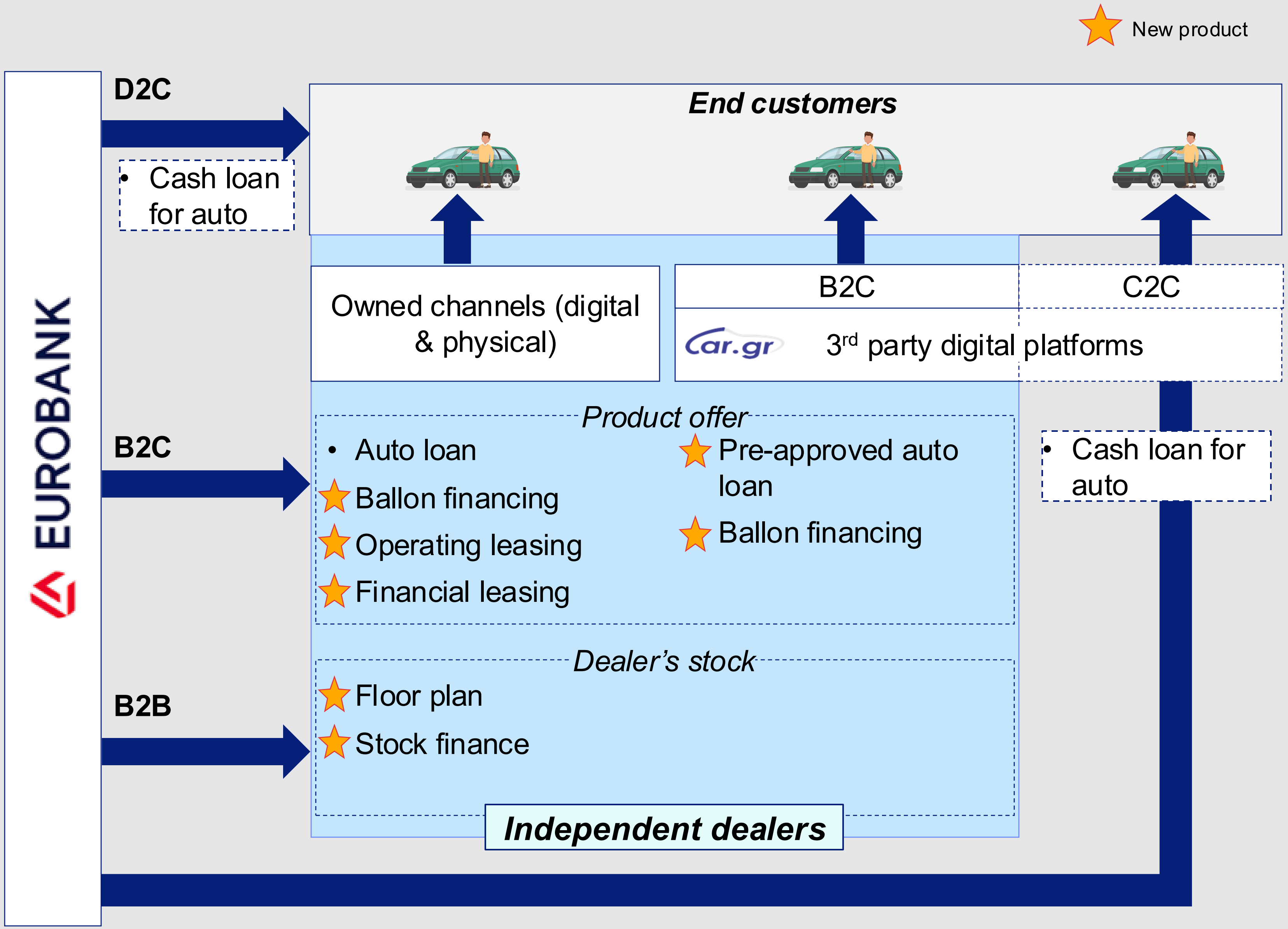
3 | Drop in market share mainly driven by stricter credit policy vs. competitors and absence of a competitive B2B financing offering

Key Issues	Description	Main competitors growing market share
1 **Stricter credit policy than competitors**	• Eurobank applies a **more conservative credit policy** than **systemic banks** and **specialized players**, with lower booking rates (37% ERB vs. 60–80% of competitors), particularly for vehicles >9 years • Unlike competitors, **Eurobank requires a mandatory down payment linked to vehicle age** (e.g., for cars >9 years)	EUROBANK, National Bank of Greece, Piraeus, Alpha Bank, Santander
2 **Absence of a competitive B2B financing offering**	• Eurobank lacks a competitive B2B financing proposition for dealerships and RACs, while **competitors use digital platforms** and flexible models, aligning **B2B terms** with retail to **expand their share of wallet**	CA Auto Bank, Volkswagen, BMW, Santander, Stellantis Financial Services

While pain points exist, Eurobank's strengths – **unique dealer network**, **strong capabilities, and reliable brand** – provide a **strong foundation for growth**

1. Original Equipment Manufacturer
2. Rental and leasing company

4 | By 2030, Eurobank can position itself as the #1 “captive” bank for independent dealers



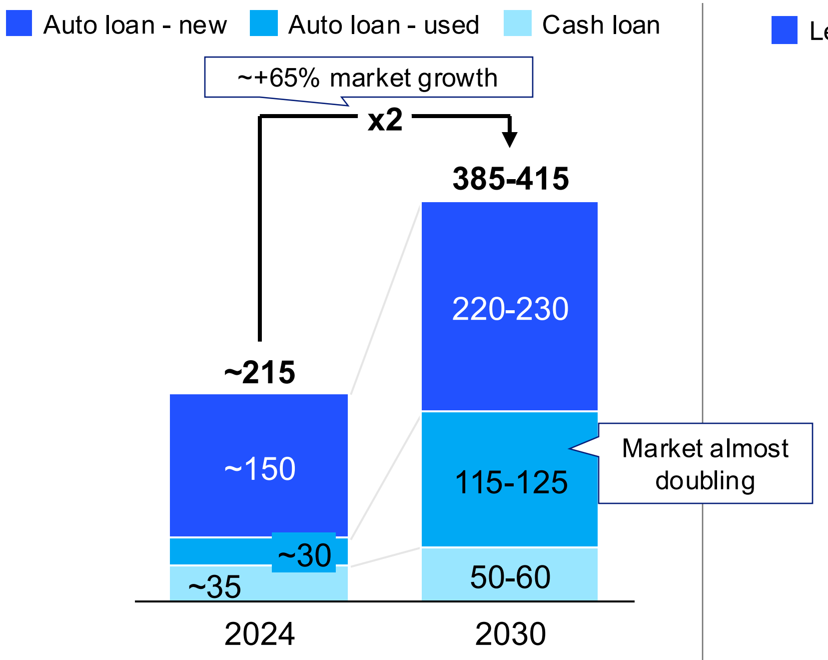
5 | Four strategic initiatives to be launched in line with the vision

Initiative	Description	Product in-scope
1 **Increase used cars financing**	• **Move into retail auto secured lending** to enhance booking rate (i.e., reduce rejections and counteroffers) • Extend **ballon financing** to **used cars**, with **no mandatory downpayment** and lower rates vs. traditional auto loans, supported by **dealers' buy-back agreements**	• Autoloan • Balloon financing
2 **Redesign end-to-end B2B offering**	• **Offer collateralized B2B financing** (e.g., stock finance, floor plan) with wholesale volumes and terms tied to retail loan disbursements	• Stock financing • Floorplan financing
3 **Enter the retail leasing market**	• **Enter the retail leasing market** organically through **a dealer-centric model** that differentiates Eurobank from incumbents and new mobility players	• Financial leasing • Operating leasing
4 **Expand digital presence**	• Launch B2C and C2C journeys on **digital marketplaces** (e.g., Car.gr) • **Partner with Toyota** to embed Eurobank financing into their online platform • Launch a **branded direct-to-consumer** (D2C "cash loan for auto	• Cash loan for auto • Pre-approved autoloan

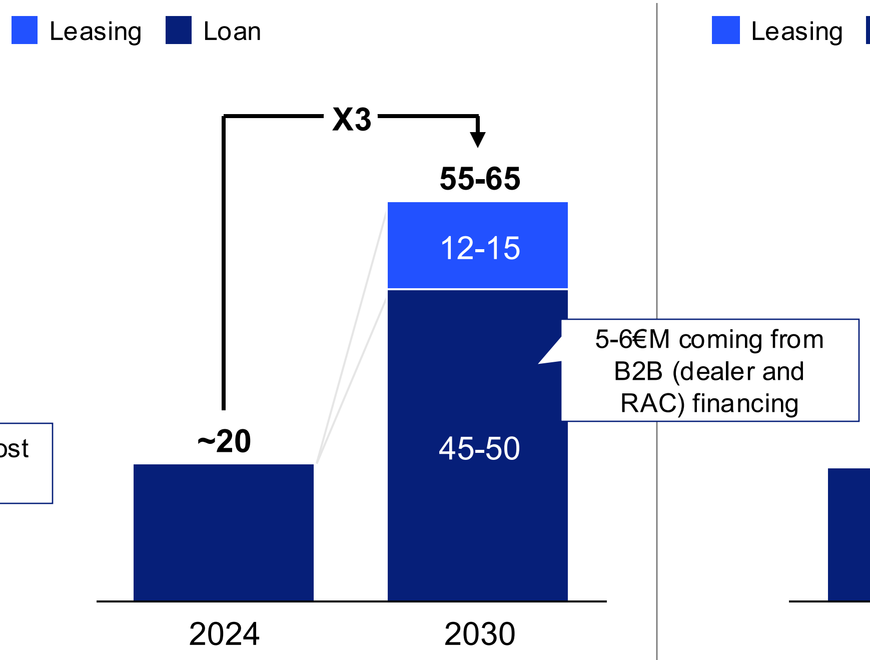
6 | Overall program to generate additional 25-35M€ PBT in 2030

Eurobank financials evolution, 2024-30 (€M)

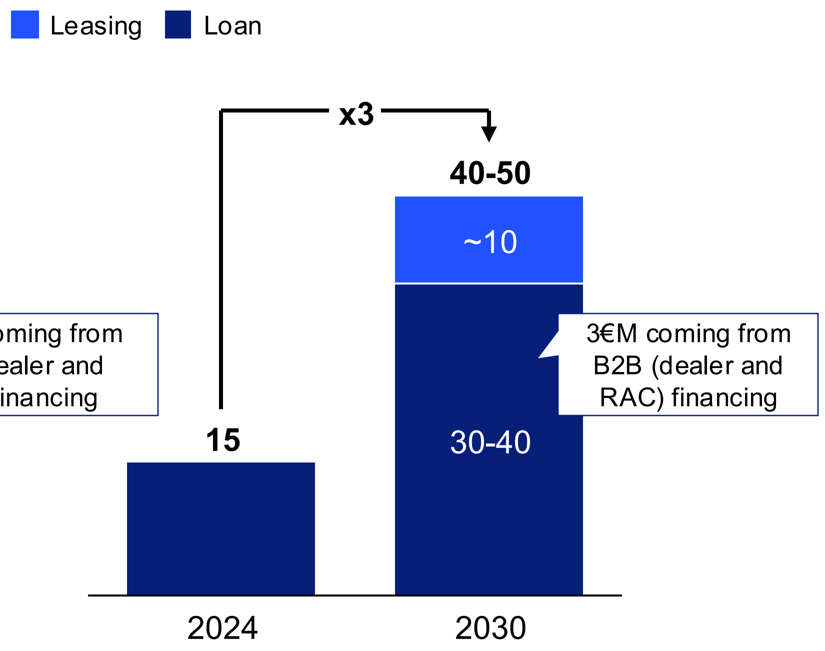
Retail loan disbursements (without leasing)



RAR (including leasing)



PBT (including leasing)



	2024	2030
Auto loan cars financed (k#)	~10 / ~3	~15 / ~10
Cash loan cars financed (k#)	~7	~10

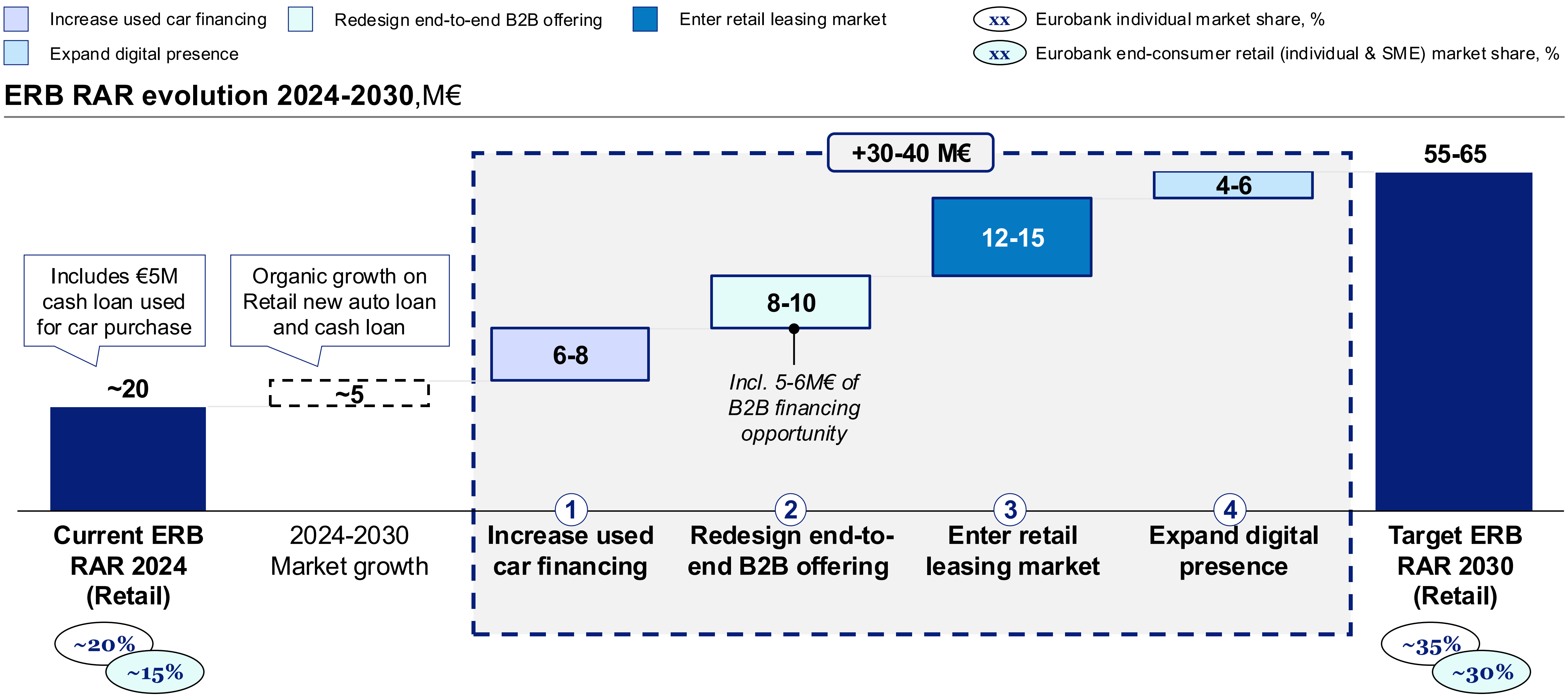
	2024	2030
Leasing RAR[1]/ car (€)	n.a	~2.5k
Loan RAR[2]/ car (€)	~1k	~1.2k

	2024	2030
Leasing Opex/ RAR	n.a	25%
Loan Opex/ RAR	~25%	20-25[3]%

1. Weighted average of financial and operating leasing
2. Weighted average of new auto loan, used auto loan and cash loan
3. Not including B2B financing

7 | Initiatives to deliver 30-40M€ of incremental RAR in addition to 5M€ from market growth

ERB RAR evolution 2024-2030,M€



Eurobank can **faster regain leading position in auto loan**, increasing competitiveness on used car and redesigning B2B offering, **while gradually expanding into new products** (i.e., operating leasing) and channels (i.e., digital)

1. Does not include moto; includes consumer loans for auto purposes
2. Computed assuming 2024 ERB MS constant in already served market, and computed on 2030 market size: dealers' channels: (35% MS on new cars, 15% MS on used cars) and ~30% via Bank's channels

8 | Winning requires strong repossession capabilities, a dedicated value stream, and focused investments

Enablers	Rationale
i **Build repossession capabilities**	• Enable **collateralized retail** and **B2B lending** to **drive volume** (e.g., increase SoW on car age >9 years), while balancing higher default rates with stronger recovery values • Unlocks **balloon financing for used cars** – without mandatory downpayment – backed by dealer buy-back agreements
ii **Create a dedicated auto finance value stream**	• Clear **ownership with** full **P&L accountability** • End-to-end **coordination for speed, flexibility**, and **market responsiveness** • Potential to **scale leasing model internationally**
iii **Prioritize targeted investments for growth**	• **Develop competitive B2B offering** (e.g., streamline origination, onboarding, and repayment, ensuring integration with DMS[1] for real-time inventory visibility) • **Launch new product** (e.g., operating leasing) • **Expand digital presence** (e.g., connect with third-party platforms and digital marketplaces)

1. Dealer management systems

8i | Unlocking repossession value through fast recovery, strong partnerships, and diversified remarketing

Key repossession success factors	Best practice examples
Accelerated car recovery	• **Robust legal & contractual framework:** clear repossession rights, customer consent, enforceability, aligned with Greek regulations • **Efficient operations & execution:** SLA-driven processes, GPS tracking, digital task tools, centralized PMO oversight
Strategic network of preferred partners	• **Strategic network of preferred partners** (e.g., dealers, SLAs, remarketing channels) enabling **end-to-end repossession management**, from asset recovery to resale, **reducing time-to-market and value leakage**
Diversified remarketing strategy	• **Diversified multichannel remarketing strategy** (dealer networks, digital auctions, direct car sales), including cross-border sales options to mitigate local market saturation and maximize recovery value

KPIs for business case success

~85%	**Avg. recovery rate**
~10 months	**Avg. time to repossess car for loan contracts** (~3 months for leasing)
2-3 months	**Avg. time to sell the car**, after recovery (considering storage, inspection and remarketing)
~5%	**Avg. remarketing costs** (e.g., dealer discount) over vehicle RV

DoValue input: 3 to 6 months in normal cases; up to 12-18 months incase the client files an appeal

8i | Large European banks have already established successful repossession through partnership

Detailed in backup

Example of players		Description of repossession strategy
Traditional banks	SOCIETE GENERALE	• Société Générale handles **vehicle repossession** through its **(100% owned) recovery subsidiary Concilian** • **Concilian** oversees the **entire repossession lifecycle**, leveraging external partners for selected activities (e.g., remarketing) • Concialian provides collection services (incl. repossession) also to other financial institutions
	CRÉDIT AGRICOLE	• Crédit Agricole manages **internally vehicle repossession** within the collection team, leveraging external partners for selected activities (e.g., remarketing, asset recovery)
	Santander	• Santander implements a standard **repossession process** through its **consumer finance arm** (SCF). The bank manages legal notifications in-house, while outsources **physical asset recovery to third-party agents**
New entrants	FINN *German market leader for car subscription*	• FINN manages **repossession in-house**, integrating a **best-in-class, tech-enabled remarketing process.** The company has developed a **digital partner portal** for **real-time access to vehicles**, leveraging AI and machine learning to automate invoices and is deploying **AI agents** to identify **high-potential B2B partners**, enabling scalable and targeted outreach for remarketing vehicles

8i | Potential journey for ERB leveraging external partners across the value chain

Step	Legal repossession	Asset recovery	Storage	Inspection	Remarketing
Description	After **default notices** are **issued**, lender gains **contractual** and **legal right** to **repossess** the vehicle and authorizes **repossession agents** to proceed with **recovery**	Vehicle is **located**, **secured** and **retrieved**, and then **transported** to the **storage facility** preferred by the lender	Vehicle **custody** is **documented** (e.g., condition, date of arrival) and is **stored** in a gated, **monitored** area within **storage facility**	Vehicle goes through **inspection** (interior, exterior, engine, tires, electronics) for **wear**, **damage**, **missing parts** and **market value** is estimated by inspector	Vehicle is prepared for **remarketing** (e.g., cleaning, minor repairs) and routed to **auction house**, **dealership network** or **marketplace** for resale
Responsible partner	Repossession agent	Repossession agent	Logistic player	De-fleeting company / inspector	ERB
Potential partner(s)	doValue	doValue ← DEKRA IMPERIAL (Asset recovery to Inspection) →	← NEWWAY, ΠΑΕΓΑΕ Logistics Excellence, Ferst (Storage to Inspection) →		spot wheel, car.gr, ERB dealer network, FINN, CARDOM
Average timing	**~1 month** for leasing **~10 months** for loan	**~1-2 weeks**	**~60-90 days** for a used car in good condition (Storage to Remarketing)		
ERB required capabilities	SLA team to **steer external partners** (Legal repossession to Inspection)				**Remarketing channel strategy** (which car on which channel)

Effective repossession can lower cost of risk and strengthen Eurobank's competitiveness

Note: ΠΑΕΓΑΕ is owned by NBG

8i | Deep dive on potential Partners – Preliminary assessment based on partner interview and public information

✓ Service available

Detailed next

Potential partner	Description	Legal repossession	Asset recovery	Storage	Inspection	Remarketing
doValue	**Leading European** servicer specialized in and recovery of NPLs, UTPs and REO assets – **already collaborates with ERB on mortgage portfolios**	✓	✓	*Activity confirmed by doValue*		
DEKRA IMPERIAL	**DEKRA Imperial** is Europe's and Greece's leading vehicle inspection company, performing **10,000+ vehicle checks annually**. While its core is **vehicle inspection**, it can offer the service of **car storage** and **asset recovery**		✓	✓	✓	
NEWWAY	Greek logistics and vehicle services company. Its core activities include **vehicle storage**, **transportation**, and **pre-delivery inspections** (PDI)			✓	✓	
Ferst	Leading Greek automotive logistics provider with **30+ years of experience**. It inspects **50,000+ vehicles annually** and offers integrated services incl. **transport, storage, repairs**			✓	✓	
ΠΑΕΓΑΕ Logistics Excellence	Greek logistics provider specializing in **vehicle logistics** and **warehousing**. It operates over **1.1 million m² of storage facilities** and offers **vehicle storage and inspection**			✓	✓	
ERB dealers	**Top ERB dealers**, creditworthy and well distributed across the country, representing a solid channel for remarketing in the **domestic market**					✓
CARDOM car.gr	Leading **Greek marketplace for used cars** – Car.gr (100+k car listings) and Cardom (Avis & Skroutz-backed) – offering broad market reach for **domestic market**					✓
spot A wheel	**Multi-country used car platform** (Greece, Poland, Romania) —offering broad market reach for domestic and international market					✓
FINN	**German multi-country platform** for car subscriptions and used sales, offering a digital model suited for remarketing vehicles across Europe					✓

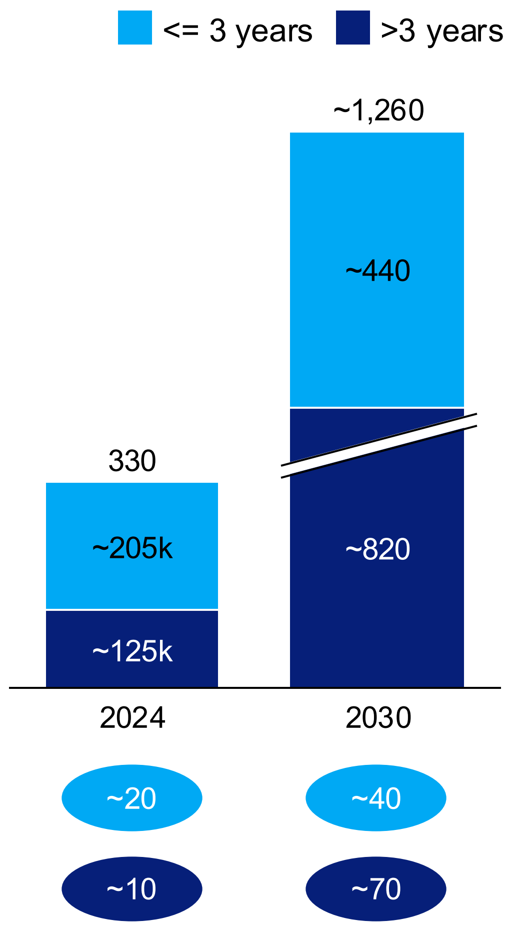
Domestic focus

International focus

Next steps for implementation phase: contact vendors to obtain quotations and select the most suitable option

8i | Repossession: diversified remarketing engine to maximize value

Expected number of retail cars repossessed,



Remarketing strategy

Pillar	Option	Description/ best fit for
1. Refurbishment & reconditioning	Basic preparation	**Standard cleaning** and light cosmetic fixes to improve appearance and perceived value
	Standard packages	**Tiered reconditioning packages** aligned to vehicle type and resale channel (e.g., auction vs. Car.gr)
	Value driven repairs	**Selective refurbishment** only for cars with possibility to significantly increases resale value
2. Pricing	Inspection-based pricing	Pricing based on **independent inspection by third-party** or **de-fleeting company,** adjusted to remarketing channel (e.g., preferential discount to selected dealers)
	Dynamic market-based pricing	**Real-time dynamic pricing** powered by automated tools (e.g., based on demand trends, vehicle condition, remarketing channel historical performance)
3. Channel strategy	Dealers' network	**Pre-arranged resale** to **preferred partners** (e.g., dealers network) for most vehicles in good conditions — Preferred option
	Digital marketplaces	Online platforms (e.g., Car.gr) for **direct retail reach** for newer vehicles not requiring dealers' repairs
	Wholesale auctions	**Rapid liquidation** of **low-demand** or **unsold aged vehicles** from retail and dealer channels
	Export market	**Cross-border marketplaces** or **international wholesale buyers**, especially for EVs or vehicles unsuitable for domestic resale
4. After sales	After sales support	After sales support for **claims management** (B2C and B2B), potentially supported by digital portals and self-service tools (B2B)

8ii | Creating a dedicated auto finance value stream can enable focus, accountability, and growth

Description

- Create a **fully vertical unit** for **auto finance** with end-to-end responsibility: product strategy, pricing, sales, channel, P&L, etc.
- Launch dedicated **steering committees** with **CxOs** and **function heads** within new **auto finance value stream**

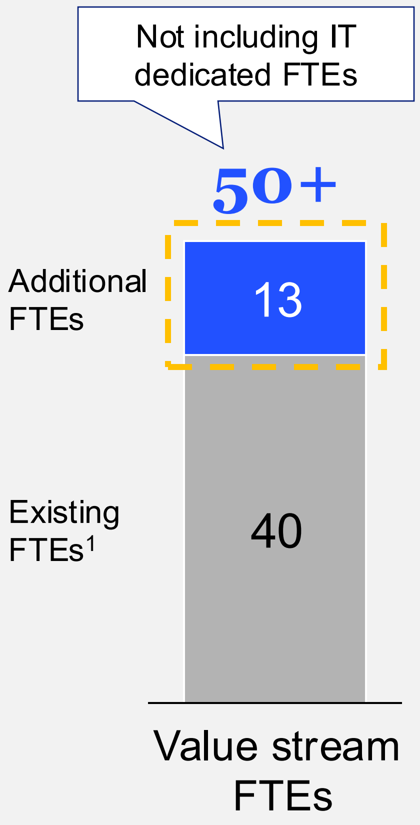
Rationale

- Clear ownership with **P&L of value stream**
- **End-to-end control and coordination**: speed, flexibility, and market responsiveness
- **Potential to scale leasing internationally**

Example of international Banks

BNP PARIBAS PERSONAL FINANCE	SOCIETE GENERALE
Santander Consumer Finance	CA AUTO BANK

Detailed next



1. include FTEs from Auto lending product IB & SB, External & alternative channels, Auto moto processing (retail), After sales support (dealers), Credit Policy & Quality Control

8ii | Dedicated value stream requires ~13 additional FTEs to start

Eurobank   Dealer   Partner (e.g., de-fleeting company)   Fully integrated in VS   Embedded

Incremental FTEs at steady state

Main functions	Stakeholder	Auto loan and B2B financing		+	Leasing		Total
Product and commercial strategy		3	*+1 FTE for stock financing; +2 FTEs on pricing activities*		2	*+2 FTEs to build technical pricing model and residual value forecasting and monitoring models*	~5
Sales		-			2	*+1 FTEs for managing dealer relationships* *+1 FTE for SME direct sales (salesforce)*	2
Operations		-	*Volume-based with potential for automation, no incremental FTEs to start off*		1	*+1 FTEs for contract management (e.g., contract inquiries, complaints, etc.)*	~1
Repossession		2	*+~2 FTEs across loan and leasing (e.g., 1 FTE for PMO, 0.5 FTE for SLA steering, 0.5 FTE for remarketing strategy)*				~2
Remarketing		-	*n/a*		1	*+1 FTE to define remarketing strategy (which car on which channel)*	~1
Credit and risk assessment		1	*+1 FTE (credit officer) for additional volumes*		1	*+1 FTE for credit checks*	~2
Total		6			7		13

8iii | Targeted €4-6M IT investment enables competitiveness, leasing expansion, and digital scale

Strategic move	Value creation opportunity	IT Capex, M€	Use of investment
Fight back competition	Increase used car financing	<0.5	• **Update systems** and **processes** to launch ballon financing for used cars
	Redesign end-to-end B2B offering	2-3	• **Enhance digital platform** to streamline credit origination and disbursement (e.g., dealer onboarding, disbursal, repayment tracking) • **Integrate the platform with dealer management systems** (DMS) for real-time visibility on inventory
Future proof ERB business model	Enter retail leasing market	~1	• **Parametrization** of **operating lease module** within **ERB Leasing's** existing core leasing system
	Expand digital presence	1-1.5	• **Integration** of **digital CJs** in **third-party platform** and **marketplaces**
Total		**4-6**	

1. ~500k€ for integration to corporate dealers, interest-free period, digital credit notice; ~500k for integration into Dealers' management systems (e.g., for inventory tracking)

8 | How the next 6-8 months look like

Strategy | Prepare for launch | Go live

2025 → **2026**

Oct | **Nov** | **Dec** | **Jan** | **Feb** | **Mar** | **Apr** | **May**

- Approve strategy (e.g. CEO, ExBO, BRC)
- Align relevant stakeholders
- Include CAPEX and FTE needs in 2026 budget
- Initiate hiring and IT development
- Develop new products (e.g. operating leasing, B2B financing, balloon financing) and expand digital presence
- Develop repossession framework and capabilities
- Review and adjust credit policy
- Value stream up & running; first new products gradually to be launched

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